CHART PATTERNS

The Trader's Pattern Playbook

The 6 chart patterns that appear most often in the market.

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Chart patterns are repeatable price structures that signal what a stock is likely to do next. They work because they reflect the same human psychology playing out over and over. These are the 6 patterns that show up most consistently.

PATTERN 1

Bull Flag

A sharp upward move (flagpole) followed by a tight sideways-to-slightly-down consolidation (flag) on lower volume. Breakout above the flag top is the entry. Target = length of flagpole added to the breakout point.

PATTERN 2

Bear Flag

The inverse. A sharp downward move followed by a weak consolidation on low volume. Breakdown below the flag bottom is the short entry. Most powerful after a gap down or a major support break.

PATTERN 3

Ascending Triangle

A series of higher lows pressing against a flat resistance level. Buyers becoming more aggressive with each pullback. Break above flat resistance on volume = strong bullish signal.

PATTERN 4

Descending Triangle

A series of lower highs pressing against a flat support level. Sellers becoming more aggressive with each bounce. Break below flat support = bearish signal with volume spike.

PATTERN 5

Head and Shoulders

Three peaks — left shoulder, higher head, right shoulder roughly equal to left. Break below the neckline on volume = bearish reversal. One of the most reliable major top patterns.

PATTERN 6

Double Top and Double Bottom

Double top: two failed tests of the same resistance — bearish reversal when the low between peaks breaks. Double bottom: two tests of the same support — bullish reversal when the high between them breaks.

PATTERN ENTRY, STOP, AND TARGET REFERENCE

PATTERN	ENTRY	STOP PLACEMENT	TARGET
Bull Flag	Break above flag high on volume	Below flag low	Flagpole length added to breakout
Bear Flag	Break below flag low on volume	Above flag high	Flagpole length subtracted from breakdown
Ascending Triangle	Break above flat resistance on volume	Below most recent higher low	Height of triangle added to breakout
Descending Triangle	Break below flat support on volume	Above most recent lower high	Height of triangle subtracted from breakdown
Head and Shoulders	Break below neckline on volume	Above right shoulder	Distance from head to neckline subtracted from neckline
Double Top	Break below low between the two peaks	Above both peaks	Height of pattern subtracted from breakdown
Double Bottom	Break above high between the two troughs	Below both troughs	Height of pattern added to breakout

PATTERN VALIDITY CHECKLIST

- [ ] Volume contracts during consolidation / pattern formation
- [ ] Volume expands significantly on the breakout or breakdown candle
- [ ] The breakout candle closes clearly beyond the pattern level — not just a wick through
- [ ] The pattern is visible and obvious on the chart — if you have to squint, it is not there
- [ ] The trade is in the direction of the larger timeframe trend

> **TST RULE**
>
> The most common pattern trading mistake is entering before the breakout confirms. Anticipating a breakout is a guess. Trading the confirmed breakout with volume is a strategy. Wait for confirmation — always.

Full chart patterns curriculum with real trade examples in the TST Academy Beginner section at topstocktrading.com